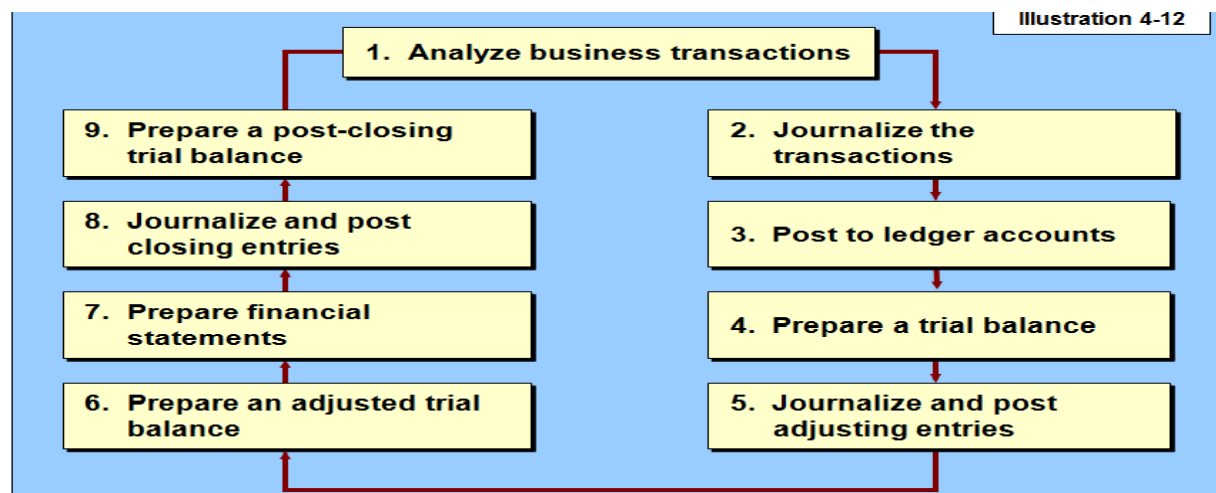


CHAPTER 2: ACCOUNTING CYCLE FOR SERVICE GIVING BUSINESS

2. Introduction

In unit 1, you have learned the relationship between the accounting equation and business transactions. Every business transaction affects the elements of the accounting equation. This accounting procedure will be discussed in detail. The different and interrelated stages of the accounting cycle will be presented. The chapter is lengthy, but essential for the remaining chapters in this course and other accounting courses. Therefore, you are advised to study the chapter carefully.

Summary of the Accounting Cycle



Study Objectives

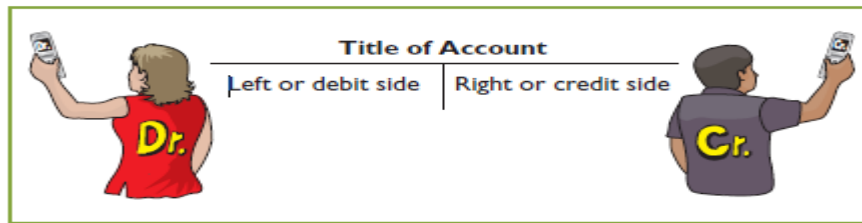
After studying this chapter, you should be able to:

- Explain why accounts are used to record and summarize the effects of transactions on financial statements.
- Describe the characteristics of an account.
- Understand the Classification of accounts
- List the rules of debit and credit and the normal balances of accounts.
- Analyze and summarize the financial statement effects of transactions.
- Prepare a trial balance and explain how it can be used to discover errors.
- Illustrate The adjusting process-accrual vs. cash
- Illustrate the Preparation of worksheet and Prepare financial statements from a worksheet
- Prepare Post-closing trial balance

2.1 Characteristics of Accounts

- An **account** is an individual accounting record of increases and decreases in a specific asset, liability, or owner's equity item.
 - ✎ **For example**, Softbyte (the company discussed in Chapter 1) would have separate accounts for Cash, Accounts Receivable, Accounts Payable, Service Revenue, Salaries and Wages Expense, and so on.
- In its simplest form, an account consists of three parts:
 - (1) A title
 - (2) A left or debit side and
 - (3) A right or credit side.

- ➔ Because the format of an account resembles the letter T, we refer to it as a **T account**.



2.2 Classification of Accounts

- ➔ Accounts are classified into five: **assets, liabilities, capital, revenue and expenses**.
- ➔ The first **three** are called **balance sheet accounts** and the other two are called **income Statement accounts**.
- ➔ Balance Sheet accounts are those reported on the balance sheet at the end of the reporting period and Income Statement accounts are reported on the Income Statement.
- ➔ Each of these major account classifications is briefly described below:
 - ✚ **Assets** - A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.
 - ➔ On the balance sheet, assets are classified into two - **current assets and non – current assets**.
 - ⚡ **Current Assets** – are those assets, which can be used, sold, or converted into cash within one accounting year. **Example: cash, supplies, prepayments, receivables etc.**
 - ⚡ **Non-current Asset:** All assets other than current assets are called non-current assets. **Example: land, patent right, office equipment, vehicles.**
 - ✚ **Liabilities** - A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.
 - ⚡ Are often identified on the balance sheet by titles that include the word *payable*.
 - ⚡ Examples of liabilities include accounts payable, notes payable, and wages payable.
 - ⚡ Cash received before services are delivered creates a liability to perform the services.
 - ⚡ These future service commitments are often called *unearned revenues*. **Examples** of unearned revenues are magazine subscriptions received by a publisher and tuition received by a college at the beginning of a term.
 - ➔ Like assets, liabilities are classified in to two as current liabilities and non – current liabilities
 - ⚡ **Current liabilities:** The liabilities that are payable within the next (one) accounting year are known as current liability. **Example: Accounts Payable, Rent Payable, Salary Payable.**
 - ⚡ **Non – Current Liabilities:** Debts that are not required to be paid within the next accounting period. **Example long term notes payable.**
 - ✚ **Equity**- A residual interest in the assets of the entity after deducting all its liabilities.
 - ⚡ For a proprietorship, the owner's equity on the balance sheet is represented by the balance of the owner's *capital* account.
 - ⚡ A **drawing** account represents the amount of withdrawals made by the owner.
 - ✚ **Income**- Increases in economic benefits that result in increases in equity (other than those related to contributions from shareholders).
 - ⚡ **Examples of revenues include fees earned, fares earned, commissions revenue, and rent revenue.**
 - ✚ **Expenses**- Decreases in economic benefits that result in decreases in equity (other than those related to distributions to shareholders).

- ~ Examples of typical expenses include wages expense, rent expense, utilities expense, supplies expense, and miscellaneous expense.

2.3 Chart of Account

- ➔ The list of accounts used by an organization and their codes is called the **chart of accounts**.
- ➔ The number and name of accounts used by an organization depends on the nature of its operation.
- ➔ The accounts within the chart of accounts are numbered for use as references.
- ➔ A flexible numbering system is normally used, so that new accounts can be added without affecting other account numbers.
 - ~ The following are chart of accounts that we will be using in this chapter.
 - ~ Additional accounts will be introduced in later chapters.
- ➔ Each account number has two digits. The first digit indicates the major classification of the ledger in which the account is located.
- ➔ Accounts beginning with 1 represent assets; 2, liabilities; 3, owner's equity; 4, revenue; and 5, expenses.
- ➔ The second digit indicates the location of the account within its class.

Balance Sheet Accounts	Income Statement Accounts
1. Assets	4. Revenue
11-cash	41 - Fees Earned
12-Account receivable	5. Expense
14- Supplies	51 - Wages Expense
15- Prepaid Insurance	52 - Rent Expense
17- Land	54 - Utilities Expense
18- Office Equipment	55 - Supplies Expense
2. Liabilities	59 - Miscellaneous Expense
21- Accounts Payable	
23- Unearned Rent	
3. Owner's Equity	
31- Capital	
32- Drawing	

- ➔ In the chart of accounts, the asset accounts are listed according to their liquidity.
- ➔ Liquidity is the ease with which an asset can be converted in to cash.
- ➔ Cash is the most liquid asset so it is listed first.
- ➔ The number could be a two digit, three digit or more digits.

2.4 Rules of Debits and Credits

- ➔ The term **debit** indicates the left side of an account, and **credit** indicates the right side.
- ➔ They are commonly abbreviated as **Dr.** for debit and **Cr.** for credit.
- ➔ They **do not** mean increase or decrease, as is commonly thought.
- ➔ We use the terms *debit* and *credit* repeatedly in the recording process to describe **where** entries are made in accounts.
 - ~ For example, making an entry on the left side of an account is called **debiting** the account.
 - ~ Making an entry on the right side is **crediting** the account.
- ➔ When comparing the totals of the two sides, an account shows a :
 - ~ **Debit balance** if the total of the debit amounts exceeds the credits and
 - ~ **credit balance** if the credit amounts exceed the debits.
- ➔ The procedure of recording debits and credits in an account is shown in Softbyte computer programming for the transactions affecting the Cash account discussed in Chapter 1. The data are taken from the Cash column of the tabular summary

Tabular Summary

Cash
\$15,000
-7,000
1,200
1,500
-1,700
-250
600
-1,300
<u>\$ 8,050</u>

Account Form

Cash			
(Debits)	15,000	(Credits)	7,000
	1,200		1,700
	1,500		250
	600		1,300
Balance	8,050		
(Debit)			

- ➔ Every positive item in the tabular summary represents a receipt of cash; every negative amount represents a payment of cash.
- ➔ Notice that in the account form we record the increases in cash as debits, and the decreases in cash as credits.
- ➔ In general, accounts appearing on :
 - ↻ the left hand side of the accounting equation increase on their left side (Dr. side) and decrease on their right side (Cr. Side)
 - ↻ Whereas accounts on the right side of the equation increase on their right side and decrease on their left side.
- ➔ The above general rule will be expanded as follows

Debit

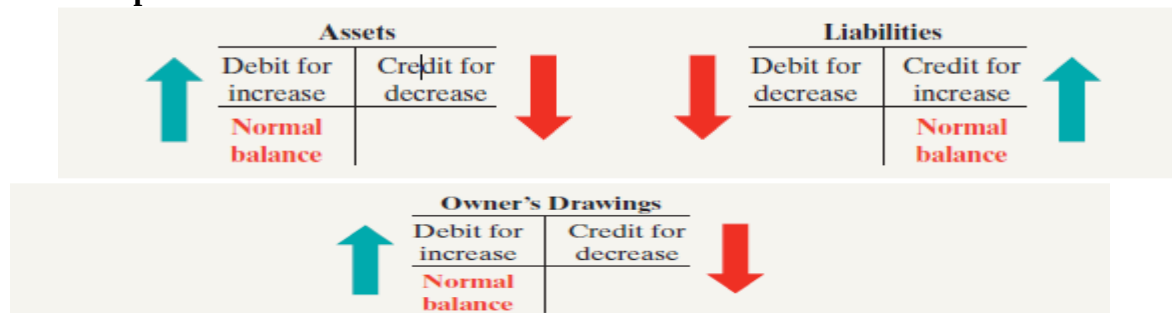
- Increase in Assets
- Increase in Expenses
- Decrease in Liabilities
- Decrease in Equity
- Decrease in Revenue

Credit

- Decrease in Assets
- Decrease in Expenses
- Increase in Liabilities
- Increase in Equity
- Increase in Revenue.

2.4.1 Normal balance of an Account

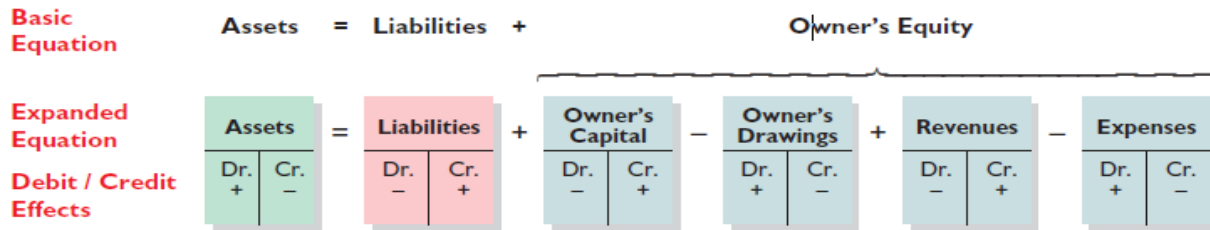
- ➔ The **normal balance** of an account is on the side where an increase in the account is recorded
- ➔ Normal balance refers to the side of an account (Dr. or Cr.), which will have greater entries than the other.
- ➔ The increasing side will be the normal balance for accounts.
- ➔ **Example:**





Summary of Debit/Credit Rules

The following diagram shows Summary of the debit/credit rules and effects on each type of account.



2.5 Analyzing & Recording Transactions

- Practically every business uses three basic steps in the recording process:
 1. Analyze each transaction for its effects on the accounts.
 2. Enter the transaction information in a journal
 3. Transfer the journal information to the appropriate accounts in the ledger.

2.5.1 Journalizing Business Transactions

- When a business transaction takes place, **source documents** will be obtained and recorded.
- The **accounting record** in which a transaction is initially recorded is known as a **journal**.
- The journal is therefore referred to as “**The book of original entry**”.
- The process of recording a business transaction in the accounting record is called **journalizing**.
- The Journal commonly used to record all types of transactions is the **General Journal**.
- Look at the following General Journal:

Journal

Date		Description	P.R	Debit		Credit	
Year							
Month	day	Debited account title		XXX	XX		
		Credited account title				X XX	XX
		Explanation					

- There are also other types of Journals like, known as **special journals** that are used to record specific types of transactions.
- The cash Journal, for instance, is used to record only transactions affecting cash.
- The General Journal is used for illustrations in this chapter. Special journals are discussed in unit 5.

Steps in Journalizing a Transaction

- The following steps should be followed in recording a transaction in the journal.
 - **Record the date** - Insert the year, the month, and the date as shown above.

- ↻ **Record the Debit-** Insert the account debited in the description column and the amount of debit in the debit column.
- ↻ **Record the credit-** Insert the account credited below the debited account and indented to the right in the description column and the amount of credit in the credit column.
- ↻ **Explanation-** Write a brief explanation or reference to source document in the description column, when necessary.
- ➔ Each one set of debits and credits for a transaction is called a **journal entry**.
- ➔ In recording a business transaction answer the following questions based on the transaction to be recorded may help you.
 - ↻ Which accounts are affected?
 - ↻ Is each account increased or decreased?
 - ↻ Which account is debited and which is credited?
 - ↻ Prepare the complete journal entry.

Example: On September 1, Ray Neal invested \$15,000 cash in the business and Softbyte purchased computer equipment for \$7,000 cash. The number J1 indicates that these two entries are recorded on the first page of the journal.

- ↻ Which accounts are affected?
- ↻ Is each account increased or decreased?
- ↻ Which account is debited and which is credited?
- ↻ Prepare the complete Journal entry.

General Journal				J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
2012		5		
Sept. 1	Cash		15,000	
1	Owner's Capital			15,000
	(Owner's investment of cash in business)			
1	Equipment		7,000	
	Cash			7,000
	(Purchase of equipment for cash)			

Illustration: To illustrate the complete accounting cycle, we will consider the following list of selected transactions. The transactions were completed by Pioneer Advertising Agency in the month of October 2012. Pioneer's accounting period is a month.

- 1) On October 1, C. R. Byrd invests \$10,000 cash in an advertising company called Pioneer Advertising Agency.
- 2) On October 1, Pioneer purchases office equipment costing \$5,000 by signing a 3-month, 12%, \$5,000 note payable.
- 3) On October 2, Pioneer receives a \$1,200 cash advance from R. Knox, a client, for advertising services that are expected to be completed by December 31.
- 4) On October 3, Pioneer pays office rent for October in cash, \$900.
- 5) On October 4, Pioneer pays \$600 for a one-year insurance policy that will expire next year on September 30.

- 6) On October 5, Pioneer purchases an estimated 3-month supply of advertising materials on account from Aero Supply for \$2,500.
- 7) On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of \$500 for a 5-day work week, payable every 2 weeks—first payment made on October 26.
- 8) On October 20, C. R. Byrd withdraws \$500 cash for personal use.
- 9) On October 26, Pioneer owes employee salaries of \$4,000 and pays them in cash. (See October 9 transaction.)
- 10) On October 31, Pioneer receives \$10,000 in cash from Copa Company for advertising services provided in October.

General Journal			Page J1	
Date	Account Titles and Explanation	Ref.	Debit	Credit
2012 Oct. 1	Cash Owner's Capital (Owner's investment of cash in business)	101 301	10,000	10,000
1	Equipment Notes Payable (Issued 3-month, 12% note for office equipment)	157 200	5,000	5,000
2	Cash Unearned Service Revenue (Received cash from R. Knox for future service)	101 209	1,200	1,200
3	Rent Expense Cash (Paid October rent)	729 101	900	900
4	Prepaid Insurance Cash (Paid one-year policy; effective date October 1)	130 101	600	600
5	Supplies Accounts Payable (Purchased supplies on account from Aero Supply)	126 201	2,500	2,500
20	Owner's Drawings Cash (Withdrew cash for personal use)	306 101	500	500
26	Salaries and Wages Expense Cash (Paid salaries to date)	726 101	4,000	4,000
31	Cash Service Revenue (Received cash for services provided)	101 400	10,000	10,000

2.6 The Ledger

- The entire group of accounts maintained by a company is the **ledger**.
- The ledger keeps in one place all the information about changes in specific account balances.
- Companies may use various kinds of ledgers, but every company has a general ledger.

2.6.1 Posting from the Journal to the Ledger

- The process of transferring the information from the journal to the ledger is called **posting**.
- An account could be of two types;
 - The two-column account and

- ~ The four-column account. We will use the four-column account for our illustration.
The two forms of accounts are given below.

The two-column account:

Account _____				Account number _____			
Date	Item	P.R	Debit	Date	Item	P.R	Credit

The four-column account:

Account _____				Account number _____			
Date	Item	P.R	Debit	Credit	Balance		
					Debit	Credit	

The steps in posting are given below:

- Record the date and amount of Dr. and Cr. Entry to the account.
- Insert the Journal page number in the P.R (Post Reference) column of the account.
- Insert the account number in the P.R column of the journal.

General ledger after adjustment

General Journal											
Cash No. 101						Accounts Payable No. 201					
Date	Explanation	Ref.	Debit	Credit	Balance	Date	Explanation	Ref.	Debit	Credit	Balance
2012						2012					
Oct. 1		J1	10,000		10,000	Oct. 5		J1		2,500	2,500
2		J1	1,200		11,200	Unearned Service Revenue No. 209					
3		J1		900	10,300	Date	Explanation	Ref.	Debit	Credit	Balance
4		J1		600	9,700	2012					
20		J1		500	9,200	Oct. 2		J1		1,200	1,200
26		J1		4,000	5,200	Owner's Capital No. 301					
31		J1	10,000		15,200	Date	Explanation	Ref.	Debit	Credit	Balance
Supplies No. 126						2012					
Date	Explanation	Ref.	Debit	Credit	Balance	Oct. 1		J1		10,000	10,000
2012						Owner's Drawings No. 306					
Oct. 5		J1	2,500		2,500	Date	Explanation	Ref.	Debit	Credit	Balance
Prepaid Insurance No. 130						2012					
Date	Explanation	Ref.	Debit	Credit	Balance	Oct. 20		J1	500		500
2012						Service Revenue No. 400					
Oct. 4		J1	600		600	Date	Explanation	Ref.	Debit	Credit	Balance
Equipment No. 157						2012					
Date	Explanation	Ref.	Debit	Credit	Balance	Oct. 31		J1		10,000	10,000
2012						Salaries and Wages Expense No. 726					
Oct. 1		J1	5,000		5,000	Date	Explanation	Ref.	Debit	Credit	Balance
Notes Payable No. 200						2012					
Date	Explanation	Ref.	Debit	Credit	Balance	Oct. 26		J1	4,000		4,000
2012						Rent Expense No. 729					
Oct. 1		J1		5,000	5,000	Date	Explanation	Ref.	Debit	Credit	Balance
						2012					
						Oct. 3		J1	900		900

2.7 Trial Balance

- ➔ A **trial balance** is a list of accounts and their balances at a given time.
- ➔ Customarily, companies prepare a trial balance at the end of an accounting period.
- ➔ They list accounts in the order in which they appear in the ledger.
- ➔ Debit balances appear in the left column and credit balances in the right column.
- ➔ **The trial balance proves the mathematical equality of debits and credits after posting.**
- ➔ Under the double-entry system, this equality occurs when the sum of the debit account balances equals the sum of the credit account balances.
- ➔ **A trial balance may also uncover errors in journalizing and posting.**

For example, if only the debit portion of a journal entry has been posted, the trial balance would bring this error to light.

- ➔ **In addition, a trial balance is useful in the preparation of financial statements**, as we will explain in the next two chapters.

✚ The steps for preparing a trial balance are:

1. List the account titles and their balances in the appropriate debit or credit column.
2. Total the debit and credit columns.
3. Prove the equality of the two columns.

The following are the trial balance prepared from Pioneer Advertising's ledger. Note that the total debits equal the total credits.

Pioneer Advertising Agency Trial Balance October 31, 2012		
	Debit	Credit
Cash	\$15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		\$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	<u>\$28,700</u>	<u>\$28,700</u>

2.7.1 Proof Provided by the Trial Balance

- ➔ The trial balance debit totals and credit totals are equal implies that the accounting work is more likely to be free from any one or more of the following errors.

- 1) Error in preparing the trial balance including
 - ↗ Addition error
 - ↗ The amount of an account balance was in correctly listed on the trial balance
 - ↗ A debit balance was recorded as a credit or vice versa
 - ↗ A balance was entirely omitted.
- 2) Error in posting, including

- ⚡ An erroneous amount was posted to the account.
- ⚡ A debit amount was posted as a credit or vice versa
- ⚡ A debit or credit posting was omitted

2.7.2 Limitations of the Trial Balance

- ➔ The trial balance amounts are equal doesn't mean that the accounting work is free from error.
- ➔ That is, there are errors that may take place without affecting the trial balance totals.
- ➔ Some examples are mentioned below:
 - ⚡ Failure to record a transaction or to post a transaction
 - ⚡ Recording the same erroneous amount for both the debit and the credit parts of a transaction.
 - ⚡ Recording the same transaction more than once.
 - ⚡ Posting part of a transaction to the correct side but the wrong account.

Note: All these errors have the same effect (increasing or decreasing) on the debit totals and credit totals.

2.8 Timing Issues

- ➔ Accountants divide the economic life of a business into artificial time periods.
- ➔ This convenient assumption is referred to as the **time period assumption**.



- ⚡ Generally a month, a quarter, or a year.
- ⚡ Also known as the “Periodicity Assumption”

2.8.1 Fiscal and Calendar Years

- ⚡ Monthly and quarterly time periods are called interim periods.
- ⚡ Most large companies must prepare both quarterly and annual financial statements.
- ⚡ Fiscal Year = Accounting time period that is one year in length.
- ⚡ Calendar Year = January 1 to December 31.

2.9 Accrual- vs. Cash-Basis Accounting

2.9.1 Accrual -Basis Accounting

- ➔ Transactions recorded in the **periods in which the events occur**.
- ➔ **Revenues** are recognized when the **services are performed**, rather than when cash is received.
- ➔ **Expenses** are recognized when **incurred**, rather than when paid.

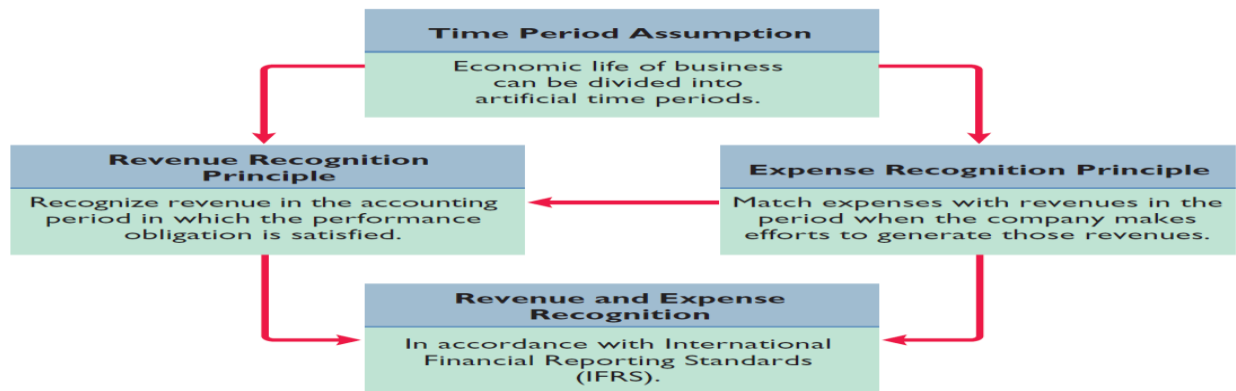
2.9.2 Cash-Basis Accounting

- ➔ **Revenues** recognized when **cash is received**.
- ➔ **Expenses** recognized when **cash is paid**.
- ➔ Cash-basis accounting is **not in accordance with International Financial Reporting Standards (IFRS)**.

2.9.3 Recognizing Revenues and Expenses

- ➔ **Recognize** revenue in the accounting period in which the **performance obligation is satisfied**.

- E.g. In a service enterprise, revenue is considered to be earned at the time the service is performed.
- Match expenses with revenues in the period when the company makes efforts to generate those revenues.
- **IFRS relationships in revenue and expense recognition**



2.9.4 The Basics of Adjusting Entries

Adjusting Entries

- Ensure that the revenue recognition and expense recognition principles are followed.
- Necessary because the trial balance may not contain up-to-date and complete data.
- Required every time a company prepares financial statements.
- Will include one income statement account and one statement of financial position account.

Types of Adjusting Entries

- Adjusting entries are classified as either **deferrals** or **accruals**.

Deferrals:

1. **Prepaid expenses**: Expenses paid in cash and recorded as assets before they are used or consumed.
2. **Unearned revenues**: Cash received and recorded as liabilities before revenue is earned.

Accruals:

1. **Accrued revenues**: Revenues earned but not yet received in cash or recorded.
2. **Accrued expenses**: Expenses incurred but not yet paid in cash or recorded.

We assume that Pioneer Advertising uses an accounting period of one month. Thus, monthly adjusting entries are made. The entries are dated October 31.

A. Adjusting Entries for Deferrals

- To defer means to postpone or delay.
- **Deferrals** are either:
 - Prepaid expenses

OR

- Unearned revenues.

a) PREPAID EXPENSES

- Payment of cash that is recorded as an asset because service or benefit will be received in the future.



- When expenses are prepaid, an asset account is increased (debited) to show the service or benefit that the company will receive in the future.
- Examples of common prepayments are:
 - ↻ Insurance,
 - ↻ Supplies,
 - ↻ Buildings and equipment.
 - ↻ Advertising
 - ↻ Rent.
- **Expire either with the passage of time (e.g. rent and insurance) or through use (e.g. supplies).**
 - Adjusting entry:
 - ↻ **Increase** (debit) to an **expense account** and
 - ↻ **Decrease** (credit) to an **asset account**.

- ✚ **Example 1:** Pioneer Advertising purchased supplies costing \$2,500 on October 5. Pioneer recorded the purchase by increasing (debiting) the asset Supplies. This account shows a balance of \$2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that \$1,000 of supplies is still on hand. Thus, the cost of supplies used is \$1,500 (\$2,500 - \$1,000).

2012	Supplies expense			1500	
Oct 31	Supplies (To record supplies used)				1500

- After adjustment, the asset account Supplies shows a balance of \$1,000 and Supplies Expense shows a balance of \$1,500.
- **If Pioneer does not make the adjusting entry, October expenses will be understated and net income overstated by \$1,500.**
- **Moreover, both assets and owner's equity will be overstated by \$1,500 on the October 31 balance sheet.**

- ✚ **Example 2:** On October 4, Pioneer Advertising paid \$600 for a one-year fire insurance policy. Coverage began on October 1. This account shows a balance of \$600 in the October 31 trial balance. Insurance of \$50 (\$600 / 12) expires each month.

2012	Insurance Expense			50	
Oct 31	Prepaid Insurance (To record insurance expired)				50

Depreciation

- Buildings, equipment, and vehicles (assets with long lives) are recorded as assets, rather than an expense, in the year acquired.
- Depreciation allocates a portion of the asset's cost as an expense during each period of the asset's useful life.

- Depreciation does not attempt to report the actual change in the value of the asset.
- **Example 3:** For Pioneer Advertising, assume that depreciation on the equipment is \$480 a year, or \$40 per month.
- Pioneer credits Accumulated Depreciation—Equipment. Accumulated Depreciation is called a **contra asset account**

2012	Depreciation Expense			40	
Oct 31	Accumulated Depreciation -Equipment (To record monthly depreciation)				40

Statement Presentation

- ↗ Accumulated Depreciation is a **contra asset account** (credit).
- ↗ **Appears just after** the account it offsets (Equipment) on the statement of financial position.
- ↗ **Book value** is the difference between the cost of any depreciable asset and its accumulated depreciation.

Equipment	\$5,000
Less: Accumulated depreciation — equipment	40
	<u>\$4,960</u>

UNEARNED REVENUES

- Receipt of cash that is recorded as a liability because service has not be performed.

Cash Receipt

BEFORE

Revenue Recorded

- Unearned revenues often occur in regard to:
 - ↗ Rent
 - ↗ Magazine subscriptions
 - ↗ Airline tickets
 - ↗ Customer deposits

Unearned Revenues

- Adjusting entry is made to record the revenue for services performed and to show the liability that remains.
- Results in a **decrease (debit) to a liability account and an increase (credit) to a revenue account.**

Example: Pioneer Advertising received \$1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. As shown below the liability Unearned Service Revenue now has a balance of \$800.

2012	Unearned Service Revenue			400	
Oct 31	Service Revenue (To record revenue earned)				400

- Without this adjustment, revenues and net income are understated by \$400 in the income statement.
- Moreover, liabilities are overstated and owner's equity is understated by \$400 on the October 31 balance sheet.

B. Adjusting Entries for Accruals

- **Accruals** are made to record
 - ↗ Revenues for services performed**OR**

- ↻ Expenses incurred in the current accounting period that have not been recognized through daily entries.

a) ACCRUED REVENUES

- ➔ Revenues for services performed but not yet received in cash or recorded.
- ➔ Accrued revenues may accumulate (accrue) with the passing of time.



- ➔ Accrued revenues often occur in regard to:
 - Interest
 - Services performed
 - Rent

ACCRUED REVENUES

- ➔ Adjusting entry shows the **receivable** that exists and records the **revenues for services performed**.

- ➔ Adjusting entry:
 - ↻ **Increases** (debits) an **asset account** and
 - ↻ **Increases** (credits) revenue **account**.

- ✚ **Example:** In October, Pioneer Advertising earned \$200 for advertising services that were not billed to clients on or before October 31. Because these services are not billed, they are not recorded.

2012	Accounts Receivable			200	
Oct 31	Service Revenue (To record revenue earned)				200

- ➔ **Without the adjusting entry, assets and owner's equity on the balance sheet and revenues and net income on the income statement are understated.**
- ➔ **On November 10,** Pioneer receives cash of \$200 for the services performed in October and makes the following entry.

Nov. 10	Cash	200	
	Accounts Receivable		200
	(To record cash collected on account)		

ACCRUED EXPENSES

- ➔ Expenses incurred but not yet paid or recorded at the statement date.



- ➔ Accrued expenses often occur in regard to:
 - Rent
 - Interest
 - Taxes
 - Salaries

- ➔ Adjusting entry records the obligation and recognizes the expense.

- ➔ Adjusting entry:
 - ↻ **Increase** (debit) an **expense account** and
 - ↻ **Increase** (credit) a **liability account**.

- ✚ **Example:** Pioneer Advertising signed a three-month note payable in the amount of \$5,000 on October 1. The note requires Pioneer to pay interest at an annual rate of 12%.

Face Value of Note	×	Annual Interest Rate	×	Time in Terms of One Year	=	Interest
\$5,000	×	12%	×	$\frac{1}{12}$	=	\$50

➔ The amount of the interest recorded is determined by three factors:

- (1) The face value of the note
- (2) The interest rate, which is always expressed as an annual rate and
- (3) The length of time the note is outstanding.

2012	Interest Expense			50	
Oct 31	Interest Payable (To record interest on notes payable)				50

Accrued Salaries and Wages

Companies pay for some types of expenses, such as employee salaries and wages, after the services have been performed.

Example: Pioneer paid salaries and wages on October 26 for its employees' first two weeks of work; the next payment of salaries will not occur until November 9.

At October 31, the salaries and wages for these three days represent an accrued expense and a related liability to Pioneer. The employees receive total salaries and wages of \$2,000 for a five-day work week, or \$400 per day.

Thus, accrued salaries and wages at October 31 are \$1,200 (\$400 x 3). This accrual increases a liability, Salaries and Wages Payable. It also decreases owner's equity by increasing an expense account, Salaries and Wages Expense.

October							November						
S	M	Tu	W	Th	F	S	S	M	Tu	W	Th	F	S
	1	2	3	4	5	6							
7	8	9	10	11	12	13	4	5	6	7	8	9	10
14	15	16	17	18	19	20	11	12	13	14	15	16	17
21	22	23	24	25	26	27	18	19	20	21	22	23	24
28	29	30	31				25	26	27	28	29	30	
Adjustment period							Payday						

2012	Salaries and Wages Expense			1200	
Oct 31	Salaries and Wages Payable (To record accrued salaries and wages)				1200

Pioneer Advertising pays salaries and wages every two weeks. Consequently, the next payday is November 9, when the company will again pay total salaries and wages of \$4,000. The payment consists of \$1,200 of salaries and wages payable at October 31 plus \$2,800 of salaries and wages expense for November (7 working days, as shown in the November calendar 3 \$400). Therefore, Pioneer makes the following entry on November 9.

Nov. 9	Salaries and Wages Payable	1,200	
	Salaries and Wages Expense	2,800	
	Cash		4,000
	(To record November 9 payroll)		

Summary of adjusting entries

Date	Account Titles and Explanation	Ref.	Debit	Credit
2012	<u>Adjusting Entries</u>			
Oct. 31	Supplies Expense	631	1,500	
	Supplies	126		1,500
	(To record supplies used)			
31	Insurance Expense	722	50	
	Prepaid Insurance	130		50
	(To record insurance expired)			
31	Depreciation Expense	711	40	
	Accumulated Depreciation—Equipment	158		40
	(To record monthly depreciation)			
31	Unearned Service Revenue	209	400	
	Service Revenue	400		400
	(To record revenue for services provided)			
31	Accounts Receivable	112	200	
	Service Revenue	400		200
	(To record revenue for services provided)			
31	Interest Expense	905	50	
	Interest Payable	230		50
	(To record interest on notes payable)			
31	Salaries and Wages Expense	726	1,200	
	Salaries and Wages Payable	212		1,200
	(To record accrued salaries and wages)			

2.10 Worksheet for Financial Statements

- Multiple-column form used in preparing adjusting entries & financial statements.
- As its name suggests, the worksheet is a working tool.
- It is not a permanent accounting record; it is neither a journal nor a part of the general ledger.
- The use of a worksheet is optional.
- Five step process.

Steps in Preparing a Worksheet

- We will use the October 31 trial balance and adjustment data of Pioneer Advertising, to illustrate how to prepare a worksheet.
 - ↻ **Step 1.** prepare a trial balance on the worksheet
 - ↻ **Step 2.** enter the adjustments in the adjustments columns
 - ↻ **Step 3.** enter adjusted balances in the adjusted trial balance columns
 - ↻ **Step 4.** extend adjusted trial balance amounts to appropriate financial statement columns
 - ↻ **Step 5.** total the statement columns, compute the net income (or net loss), and complete the worksheet

Account Titles	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200				15,200				15,200	
Supplies	2,500		(a) 1,500		1,000				1,000	
Prepaid Insurance	600		(b) 50		550				550	
Equipment	5,000				5,000				5,000	
Notes Payable		5,000				5,000				5,000
Accounts Payable		2,500				2,500				2,500
Unearned Revenue		1,200	(d) 400			800				800
Share Capital-Ordinary		10,000				10,000				10,000
Dividends	500				500				500	
Service Revenue		10,000		(d) 400		10,600	10,600			
				(e) 200						
Salaries and Wages Exp.	4,000		(g) 1,200		5,200		5,200			
Rent Expense	900				900		900			
Totals	28,700	28,700								
Supplies Expense			(a) 1,500		1,500		1,500			
Insurance Expense			(b) 50		50		50			
Accumulated Depreciation				(c) 40		40				40
Depreciation Expense			(c) 40		40		40			
Accounts Receivable			(e) 200		200				200	
Interest Expense			(f) 50		50		50			
Interest Payable				(f) 50		50				50
Salaries and Wages Payable				(g) 1,200		1,200				1,200
Totals			3,440	3,440	30,190	30,190	7,740	10,600	22,450	19,590
Net Income							2,860			2,860
Totals							10,600	10,600	22,450	22,450

Compute Net Income or Net Loss.

2.11 Adjusted Trial Balance

- Prepared **after all adjusting entries** are journalized and posted.
- It shows the balances of all accounts, including those adjusted, at the end of the accounting period.
- Purpose is to **prove the equality** of debit balances and credit balances in the ledger.
- Because the accounts contain all data needed for financial statements, the adjusted trial balance is the **primary basis for the preparation of financial statements**.

Pioneer Advertising Agency Adjusted Trial Balance October 31, 2012		
	Dr.	Cr.
Cash	\$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		\$ 40
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		50
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	<u>\$30,190</u>	<u>\$30,190</u>

2.12 Preparing Financial Statements

- Companies can prepare financial statements directly from the adjusted trial balance.
- As shown companies prepare the income statement from the revenue and expense accounts.
- Next, they use the owner's capital and drawings accounts and the net income (or net loss) from the income statement to prepare the owner's equity statement.
- Companies then prepare the balance sheet from the asset and liability accounts and the ending owner's capital balance as reported in the owner's equity statement.

PIONEER ADVERTISING AGENCY Adjusted Trial Balance October 31, 2012			PIONEER ADVERTISING AGENCY Income Statement For the Month Ended October 31, 2012	
Account	Debit	Credit		
Cash	\$15,200		Revenues	
Accounts Receivable	200		Service Revenue	\$10,600
Supplies	1,000		Expenses	
Prepaid Insurance	550		Salaries and wages expense	\$5,200
Office Equipment	5,000		Supplies expense	1,500
Accumulated Depreciation— Equipment		\$ 40	Rent expense	900
Notes Payable		5,000	Insurance expense	50
Accounts Payable		2,500	Interest expense	50
Unearned Service Revenue		800	Depreciation expense	40
Salaries and Wages Payable		1,200	Total expenses	7,740
Interest Payable		50	Net income	\$ 2,860
Owner's Capital		10,000		
Owner's Drawings	500			
Service Revenue		10,600		
Salaries and Wages Expense	5,200			
Supplies Expense	1,500			
Rent Expense	900			
Insurance Expense	50			
Interest Expense	50			
Depreciation Expense	40			
	<u>\$30,190</u>	<u>\$30,190</u>		

PIONEER ADVERTISING AGENCY Owner's Equity Statement For the Month Ended October 31, 2012	
Owner's capital, October 1	\$ -0-
Add: Investments	10,000
	<u>10,000</u>
Net income	2,860
	<u>12,860</u>
Less: Drawings	500
Owner's capital, October 31	<u>\$12,360</u>

To balance sheet

PIONEER ADVERTISING AGENCY Adjusted Trial Balance October 31, 2012			PIONEER ADVERTISING AGENCY Balance Sheet October 31, 2012	
Account	Debit	Credit	Assets	
Cash	\$15,200		Cash	\$15,200
Accounts Receivable	200		Accounts receivable	200
Supplies	1,000		Supplies	1,000
Prepaid Insurance	550		Prepaid insurance	550
Equipment	5,000		Equipment	\$5,000
Accumulated Depreciation—Equipment		\$ 40	Less: Accumulated depreciation—Equip.	40
Notes Payable		5,000		4,960
Accounts Payable		2,500	Total assets	\$21,910
Unearned Service Revenue		800	Liabilities and Owner's Equity	
Salaries and Wages Payable		1,200	Liabilities	
Interest Payable		50	Notes payable	\$ 5,000
Owner's Capital		10,000	Accounts payable	2,500
Owner's Drawings	500		Unearned service revenue	800
Service Revenue		10,600	Salaries and wages payable	1,200
Salaries and Wages Expense	5,200		Interest payable	50
Supplies Expense	1,500		Total liabilities	9,550
Rent Expense	900		Owner's equity	
Insurance Expense	50		Owner's capital	12,360
Interest Expense	50		Total liabilities and owner's equity	\$21,910
Depreciation Expense	40			
	<u>\$30,190</u>	<u>\$30,190</u>		

2.13 Closing the Books

- At the end of the accounting period, the company makes the accounts ready for the next period.
 - This is called **closing the books**.
 - In closing the books, the company distinguishes between temporary and permanent accounts.
- **Temporary accounts** relate only to a given accounting period.
 - They include all income statement accounts and the owner's drawings account.
 - The company closes all temporary accounts at the end of the period.
- In contrast, **permanent accounts** relate to one or more future accounting periods.
 - They consist of all balance sheet accounts.
 - **Permanent accounts are not closed from period to period.** Instead, the company carries forward the balances of permanent accounts into the next accounting period.

2.13.1 Preparing Closing Entries

- **Closing entries** formally recognize, in the general ledger, the transfer of
 - Net income (or net loss) and
 - Drawings
 to retained earnings.
- Closing entries are only made at the end of the annual accounting period.
- Companies close the revenue and expense accounts to another temporary account, **Income Summary**, and they transfer the resulting net income or net loss from this account to owner's capital.
- Companies generally prepare closing entries directly from the adjusted balances in the ledger as follows:
 - 1) Debit each revenue account for its balance, and credit Income Summary for total revenues

- 2) Debit Income Summary for total expenses, and credit each expense account for its balance.
- 3) Debit Income Summary and credit Owner's Capital for the amount of net income.
- 4) Debit Owner's Capital for the balance in the Owner's Drawings account, and credit Owner's Drawings for the same amount.

NB: If there were a net loss (because expenses exceeded revenues), entry 3 in would be reversed:

↻ There would be a credit to Income Summary and a debit to Owner's Capital.

CLOSING ENTRIES ILLUSTRATED

Assume that Pioneer Advertising Agency closes its books monthly at October 31.

General Journal					J3
Date	Account Titles and Explanation	Ref.	Debit	Credit	
Closing Entries					
2012	(1)				
Oct. 31	Service Revenue	400	10,600		
	Income Summary	350		10,600	
	(To close revenue account)				
	(2)				
31	Income Summary	350	7,740		
	Supplies Expense	631		1,500	
	Depreciation Expense	711		40	
	Insurance Expense	722		50	
	Salaries and Wages Expense	726		5,200	
	Rent Expense	729		900	
	Interest Expense	905		50	
	(To close expense accounts)				
	(3)				
31	Income Summary	350	2,860		
	Owner's Capital	301		2,860	
	(To close net income to capital)				
	(4)				
31	Owner's Capital	301	500		
	Owner's Drawings	306		500	
	(To close drawings to capital)				

Preparing a Post-Closing Trial Balance

- The post closing trial balance lists permanent accounts and their balances after journalizing and posting of closing entries.
- **The purpose** is to prove the equality of the permanent account balances after journalizing and posting of closing entries.

Pioneer Advertising Agency Post-Closing Trial Balance October 31, 2012		
	<u>Debit</u>	<u>Credit</u>
Cash	\$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Office Equipment	5,000	
Accumulated Depreciation—Equipment		\$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		12,360
	<u>\$21,950</u>	<u>\$21,950</u>

2.14 Reversing Entry

- Accountants sometimes use **reversing entries** at the beginning of a reporting period.
 - ↻ It is an optional entries and
 - ↻ Remove the effects of some of the adjusting entries made at the end of the previous reporting period for :
 - The sole purpose of simplifying journal entries made during the new period.
- If the accountant does use reversing entries, these entries are recorded in the general journal and posted to the general ledger accounts on the first day of the new period.
- Reversing entries are used most often **with accruals**.
- For example, the following adjusting entry for accrued salaries was recorded at the end of July 2013 for the Dress Right Clothing Corporation in the chapter:

July 31

↻ Salaries expense.....5,500
 Salaries payable.....5,500

- If reversing entries are not used, when the salaries actually are paid in August, the accountant needs to remember to debit salaries payable and not salaries expense.
- The account balances before and after salary payment can be seen below with the use of T-accounts.

Salaries Expense		Salaries Payable		
Bal. July 31	10,500		5,500	Bal. July 31
		(Cash Payment) 5,500		
			-0-	Balance

- If the accountant for Dress Right employs reversing entries, the following entry is made on August 1, 2013:

August 1

↻ Salaries payable5,500
 Salaries expense.....5,500

- This entry reduces the salaries payable account to zero and reduces the salary expense account by \$5,500. When salaries actually are paid in August, the debit is to salaries expense, thus increasing the account by \$5,500.

Salaries Expense			Salaries Payable	
Bal. July 31	10,500		5,500	Bal. July 31
		5,500	5,500	
(Cash payment)	5,500	(Reversing entry)		
Balance	10,500		-0-	Balance